PRACTICAL OPERATING GUIDE

How Buyout Firms Actually Run Their Process

A practical guide to gates, workstreams, underwriting loops, model maturity, value creation, and ownership preparation.

> The process is not a linear checklist. It is a partial order of discrete gates surrounding a dynamic engine in which facts, assumptions, price, financing, terms, risk, and the value-creation plan repeatedly revise one another.

The process in one view

A buyout process has a stable spine, but the work between decision points is iterative. The gates create accountability. The workstreams create understanding. The model translates understanding into economics.

Prepare themes and source opportunities → Screen and authorize the next level of effort → Build a preliminary underwrite and offer position

Run the seven-workstream diligence engine → Approve price, terms, financing, and residual risk → Sign, satisfy conditions, close, and fund

Convert the underwrite into an ownership budget → Execute the value-creation plan and reforecast → Prepare and authorize realization

> **The key design principle:** the gates are ordered, but the engine between them is not. Commercial work may change the revenue case; that changes debt capacity; that changes price; the new price may justify more diligence; the new diligence may change the value-creation plan again.

Static structure, dynamic understanding

Static elements

Static elements define the architecture of control. They change infrequently within a transaction.

- Who can authorize spend, an offer, an investment, execution, and funding
- Which gates must occur before the next legal or economic commitment
- Which workstreams must produce an answer
- Which open-item states are permitted at approval, signing, and closing
- Which documents or records preserve the decision

Dynamic elements

Dynamic elements change as knowledge improves and the transaction evolves.

- Revenue, margin, cash-flow, and leverage assumptions
- Risk severity and confidence
- Price, structure, protections, and financing terms
- The scope and sequence of diligence
- Which value-creation initiatives belong in base case, upside, or post-close planning

> **Discrete gates govern a continuous learning process.** A committee decision is discrete: approve, reject, or approve subject to conditions. The underlying work is continuous: assumptions move gradually as new facts arrive. The process works only when the system can represent both.

What changes from one firm to another

The core economic questions are similar. The organizational solution is not.

Dimension	What changes	Why it changes
Internal capability	Some firms have operating, technology, data, capital-markets, tax, or talent specialists in-house. Others use deal professionals and external advisers.	Scale, strategy, portfolio complexity, hiring economics, and the desire to retain operating knowledge.
Sector specialization	Specialists begin with deeper prior hypotheses, benchmarks, and networks. Generalists may commission more external work.	Prior knowledge reduces the cost of forming a view but can also create confirmation bias.
Transaction archetype	A carve-out emphasizes perimeter, standalone costs, systems, and transition services. A founder-owned deal emphasizes succession, incentives, reporting maturity, and governance.	Different transactions fail for different reasons.
Process dynamics	An auction compresses time and limits access. A proprietary process may allow more iterative work before price is fixed.	Information access, competitive tension, seller control, and certainty requirements.
Control and influence	Full-control investments can underwrite more operational change than minority investments with limited governance rights.	A value-creation lever is worth less when the investor cannot cause it to happen.
Business model	Recurring-revenue, asset-heavy, regulated, project-based, and technology businesses require different analytical depth.	The location of risk, cash conversion, operating leverage, and failure modes differs.

> Variation should change scope, staffing, depth, and sequencing. It should not remove the need to understand the business, the earnings base, the cash demands, the legal perimeter, the financing, and the execution plan.

Seven workstreams, one engine

Each workstream exists because it answers a different kind of question. Their outputs converge in the same places: the underwrite, the risk disposition, the price, the transaction terms, the financing, and the ownership plan.

Commercial and market

Is demand real, durable, profitable, and defensible?

Financial and accounting

What earnings and cash flow are genuinely recurring and financeable?

Operational

Can the physical and organizational system deliver the plan?

Technology and data

Can the technology estate support, protect, and scale the business?

Management and talent

Can the leadership system execute the underwritten plan?

Legal, regulatory, and tax

Can the transaction be completed, owned, financed, and exited as intended?

Financing and capital markets

What capital structure is sustainable, executable, and compatible with the downside?

> The workstreams are not seven reports. They are seven functions. A report may implement a function, but completing a report does not prove that the underlying question has been answered.

WORKSTREAM 1

Commercial diligence: what it really means

Commercial diligence tests the logic that connects a market to revenue, revenue to margin, and competitive position to a credible exit.

The theory

A revenue forecast is not one assumption. It is a chain: market demand, customer need, competitive position, sales capacity, price, volume, retention, and timing. Each link can fail independently.

Why it matters

Small changes in growth, churn, or pricing compound through EBITDA, debt paydown, and exit value. Commercial errors often look harmless in the first year and become decisive over the holding period.

Core questions

- Market definition and segmentation
- market sizing and growth
- industry profit-pool analysis
- structural and cyclical drivers
- customer concentration
- cohort, retention, churn and expansion analysis
- price-volume-mix decomposition
- pricing power and elasticity
- sales pipeline and conversion
- win-loss work
- channel economics
- product and service differentiation

> **Commercial diligence should convert a narrative into a driver tree.** "The market is attractive" is not decision-useful. "This customer segment grows at this rate, the company wins for these reasons, retention behaves this way, and the sales system can convert this pipeline" is decision-useful.

Commercial diligence: how it changes the deal

How the work flows into the model

- Market segmentation determines which revenue lines deserve separate assumptions
- Customer cohorts determine retention, expansion, churn, and lifetime value
- Price-volume-mix analysis separates real pricing power from temporary inflation or mix
- Pipeline analysis tests conversion, sales-cycle timing, and capacity
- Competitive work affects share assumptions, margin pressure, and exit positioning
- Customer concentration affects downside severity and required protections

Why firms do it differently

- A sector specialist may rely more heavily on prior market maps and targeted confirmatory work
- A generalist may commission a broad market analysis before forming a strong view
- A data-rich subscription business supports cohort analysis; a project business requires backlog and win-rate analysis
- An auction may restrict customer calls until late; a proprietary process may allow direct references earlier
- A regulated market requires more policy and reimbursement analysis than an ordinary consumer market

Common mistake: treating total addressable market as proof of growth. The company must still possess a differentiated right to win, a repeatable route to market, sufficient capacity, and economics that survive competition.

WORKSTREAM 2

Financial and accounting diligence: the theory

Financial diligence converts accounting records into an economic base that can support valuation, financing, purchase-price mechanics, and ownership planning.

Accounting truth

Accounting truth asks whether revenue, expenses, assets, liabilities, and period cut-offs are recorded according to the applicable accounting framework.

Underwriting truth

Underwriting truth asks what portion of earnings and cash flow is recurring, controllable, financeable, and likely to remain available under new ownership.

Why the distinction matters

A set of accounts can be technically correct and still be a poor basis for valuation. Conversely, an economically real improvement may not yet appear fully in historical accounts. The task is to bridge reported performance to a defensible forward earnings and cash-flow base without smuggling aspiration into the numbers.

> The objective is not to produce the highest EBITDA. It is to produce the earnings base that remains credible after accounting, commercial, operational, and financing challenge.

EBITDA normalization: the full sequence

1. Reconcile the starting point

Bridge audited accounts, statutory accounts, management accounts, and the model. Confirm the period, currency, consolidation perimeter, and accounting policies. Without reconciliation, later adjustments may be applied to inconsistent bases.

2. Rebuild revenue and gross profit

Test cut-off, returns, rebates, deferred revenue, principal-versus-agent treatment, project completion, and customer credits. EBITDA cannot be normalized before revenue quality is understood.

3. Separate recurring from non-recurring items

Identify unusual costs and benefits, but distinguish exceptional events from costs that recur under different labels. A cost is not non-recurring merely because management dislikes it.

4. Test every add-back

Ask whether the cost has ceased, whether the saving is within the buyer's control, whether implementation costs are included, when the benefit begins, and whether the adjustment is accepted by lenders.

5. Normalize run-rate effects

Annualize only changes that are already implemented or sufficiently committed. Separate achieved run-rate from planned improvement.

6. Build a transparent bridge

Show reported EBITDA, accounting corrections, normalization adjustments, run-rate effects, sponsor adjustments, and lender adjustments separately. Different users may accept different layers.

EBITDA normalization: why each test matters

Test	Question	Decision consequence
Recurrence	Will the item happen again under ordinary operations?	Determines whether it belongs in sustainable earnings.
Control	Can the new owner actually remove the cost or capture the benefit?	Separates an underwritten lever from a hope.
Timing	When does the benefit begin, and does the holding-period model reflect the delay?	Changes cash flow, debt paydown, and return timing.
Cost to achieve	What severance, systems, consulting, capex, or disruption is required?	Prevents a gross saving from being treated as free value.
Double counting	Is the same benefit already in the forecast or value-creation plan?	Prevents EBITDA and upside from being counted twice.
Lender acceptance	Will financing documents recognize the adjustment?	May create a difference between valuation EBITDA and covenant EBITDA.
Exit durability	Would a future buyer accept the same adjustment?	Affects terminal valuation and exit credibility.

> A clean normalization bridge preserves disagreement. It allows the deal team, lenders, and future owners to see exactly which layer of earnings supports each decision.

Working capital: from accounting balance to deal mechanism

Working capital is both an operating requirement and a purchase-price mechanism. It determines how much cash the business needs to support revenue and whether the buyer receives a normal level of operating assets at closing.

1. Define operating working capital

Specify which receivables, inventory, prepayments, payables, accruals, and deferred revenue belong in the calculation. Exclude financing items and classify cash-like or debt-like items separately.

2. Understand seasonality

Use monthly or weekly history where necessary. A year-end balance can be materially above or below the amount required during the rest of the year.

3. Separate growth from inefficiency

Higher working capital may reflect growth, poor collections, excess inventory, supplier pressure, or deliberate underinvestment before sale. The causes imply different future cash needs.

4. Test quality

Review aging, disputed receivables, slow-moving inventory, obsolete stock, unbilled revenue, overdue payables, and one-time collection or payment actions.

5. Establish the normal level

Choose a peg based on normalized operating needs, adjusted for seasonality, growth, and known structural changes. The peg should not mechanically equal a historical average when the business has changed.

6. Connect the peg to the closing adjustment

Define accounting principles, illustrative calculations, dispute procedures, and consistency rules. Ambiguous definitions turn an economic issue into post-closing litigation.

Working capital: why it matters after closing

Liquidity

Working-capital growth consumes cash even when EBITDA rises. A fast-growing business can breach liquidity limits while reporting strong earnings.

Debt capacity

Lenders care about cash conversion and seasonal revolver needs, not only EBITDA. A business with volatile working capital may support less term debt or require more liquidity.

Purchase price

A low working-capital delivery at closing effectively transfers value from buyer to seller unless the adjustment mechanism corrects it.

Value creation

Collections, inventory planning, supplier terms, billing discipline, and procurement can release cash, but aggressive assumptions must reflect customer relationships, service levels, and operational resilience.

Management incentives

A budget focused only on EBITDA can encourage poor cash behavior. Ownership metrics should include receivables, inventory, payables, conversion, and liquidity.

Exit readiness

A future buyer will repeat the analysis. Temporary cash release before exit is not equivalent to structural improvement.

> **Common mistake:** modelling working capital as a fixed percentage of revenue without understanding the operating cycle. The right driver may be days sales outstanding, inventory turns, milestone billing, deferred revenue, or supplier terms.

Cash conversion, capex, and debt-like items

EBITDA is an intermediate measure. Value depends on the cash that remains after the business funds itself and honors its obligations.

Cash conversion

Bridge EBITDA to operating cash flow through working capital, cash taxes, restructuring, leases, provisions, and other recurring cash uses.

Capital expenditure

Separate maintenance, compliance, capacity, growth, and one-time catch-up capex. Maintenance capex preserves the current earnings base; growth capex creates future capacity.

Debt-like items

Identify obligations economically equivalent to debt: unpaid bonuses, tax liabilities, deferred consideration, overdue capex, litigation reserves, factoring, leases, and customer prepayments where relevant.

> The financial workstream is complete only when reported earnings, normalized earnings, cash conversion, working capital, capex, taxes, and net debt reconcile into one coherent economic picture.

Operational diligence: the theory

Operational diligence tests whether the business system can produce the forecast safely, repeatedly, and at the assumed cost.

What it means

It examines the physical and organizational mechanisms behind revenue and margin: capacity, throughput, yield, labor, procurement, supply chain, quality, service levels, maintenance, sites, and management routines.

Why it matters

A forecast may be commercially attractive and financially consistent but still impossible to execute. Capacity, labor, systems, supplier concentration, or maintenance can impose a hard constraint that the model does not see.

The central question

> What must be true operationally for each important line in the model to be achieved?

Core outputs

- Capacity and bottleneck map
- Productivity and yield baseline
- Maintenance and growth capex plan
- Procurement and supply-chain risk map
- Implementation costs and dependencies
- First 100/180-day operating priorities

Operational diligence: why firms do it differently

Firm or deal type	Typical emphasis	Reason
Asset-heavy industrial	Capacity, maintenance, yield, safety, environmental compliance, and growth capex.	Physical constraints and failure events dominate risk.
Multi-site services	Site economics, labor productivity, scheduling, local management, procurement, and rollout playbook.	Performance depends on repeatability across locations.
Project-based business	Backlog quality, project controls, cost-to-complete, claims, bonding, staffing, and cash timing.	Revenue and margin can reverse when projects deteriorate.
Founder-owned business	Process formalization, reporting, delegation, succession, and management depth.	Institutionalization may be the primary ownership challenge.
Carve-out	Standalone functions, transition services, stranded costs, systems separation, and Day 1 readiness.	The target may not yet operate as an independent company.
Buy-and-build platform	Integration capacity, data standards, governance, synergy tracking, and management bandwidth.	Acquisition strategy fails when the operating platform cannot absorb deals.

WORKSTREAM 4

Technology and data diligence: the theory

Technology diligence is not limited to software companies. Every business depends on systems, data, cybersecurity, and technology-enabled processes.

Technology as an operating dependency

- Core applications and architecture
- Infrastructure and cloud environment
- Cybersecurity and resilience
- Data quality, ownership, lineage, and analytics
- Technology organization and vendor dependence
- Product roadmap and development process
- Technical debt and modernization needs
- Separation, migration, or integration requirements

Why it matters

- A system may cap growth or service quality
- Cyber weakness can create legal, financial, and reputational loss
- Poor data can make management reporting unreliable
- Technical debt can convert apparent margin into deferred capex
- A carve-out may require expensive replacement systems
- The value-creation plan may depend on automation that is harder than assumed

> The correct question is not "Is the technology modern?" It is "Can the current and planned technology reliably support the underwritten operating model, control environment, customer promise, and value-creation plan?"

WORKSTREAM 4

Technology diligence: how scope changes

Business type	Primary focus	Typical model connection
Software product	Architecture, scalability, code quality, release process, security, product roadmap, and engineering productivity.	Gross margin, retention, development cost, roadmap timing, and product risk.
Technology-enabled services	Workflow automation, data integrity, vendor platforms, integration, and service continuity.	Labor productivity, margin expansion, customer experience, and scalability.
Traditional industrial or consumer	ERP, planning, cyber, e-commerce, data quality, plant systems, and reporting.	Working capital, procurement, reliability, pricing, and management control.
Carve-out	Application inventory, licenses, data migration, infrastructure, cybersecurity, and transition services.	Standalone cost, one-time separation cost, Day 1 risk, and implementation timing.
Acquisition platform	Integration architecture, master data, reporting standards, and cyber controls.	Synergy timing, integration cost, M&A capacity, and governance.

Common mistake: placing technology entirely in post-close planning. When price or growth depends on automation, product development, data, or separation, technology is part of the pre-close economic underwrite.

Worked loop: the capacity-constraint cascade

1. The commercial case requires rapid growth

The model assumes demand can be converted into revenue without material delay.

2. Operational work identifies a bottleneck

Utilization, labor, maintenance, supply, management bandwidth, or systems constrain output.

3. The operating plan changes

Growth is delayed, capex rises, hiring is added, or implementation is sequenced differently.

4. The financial model changes

Revenue timing, margin, working capital, free cash flow, debt paydown, and returns move.

5. Financing and price change

Lower cash flow may reduce leverage, increase equity, tighten liquidity, or lower the supportable purchase price.

6. The value-creation plan matures

The initiative receives an owner, budget, dependencies, milestones, and a realistic start date - or moves from base case to upside.

WORKSTREAM 5

Management, talent, and organization

The underwrite is executed by people through an organization. Talent diligence tests whether the leadership system can deliver the plan and whether the ownership model can improve it.

What it means

- Leadership capability and track record
- Founder dependence and succession
- CFO, finance, and reporting maturity
- Organization design, spans, layers, and decision rights
- Retention, rollover, incentives, and equity
- Board composition and governance
- Critical hires and management-development needs

Why it matters

A plan can be economically sound but institutionally impossible. A weak finance function can hide deterioration. A founder transition can disrupt customers and employees. An incentive plan can reward growth while destroying cash or returns.

Why approaches differ

Some firms use dedicated talent professionals and formal assessment tools. Others rely on partner judgment, references, and external specialists. Founder-owned, first-institutional-capital, carve-out, and turnaround situations require deeper organization work than a stable business with an established team.

> The output is not a personality score. It is a decision on leadership risk, retention, required hires, governance, incentives, and the probability that the value-creation plan can be executed.

Legal and regulatory diligence

Legal diligence defines what is being acquired, whether it can be acquired, which liabilities travel with it, and how residual risk is allocated.

Core questions

- Does the seller own the shares, assets, intellectual property, and rights expected?
- Will contracts, licenses, or permits survive the transaction?
- What litigation, compliance, environmental, employment, pension, or data liabilities exist?
- Are antitrust, foreign-investment, sector, or other approvals required?
- Which risks should change price, perimeter, conditions, indemnities, escrow, insurance, or covenants?

Why it matters

Legal issues can be binary, economic, or procedural. Some prevent the transaction. Some reduce value. Some can be allocated contractually. Some can be accepted only with a closing condition or post-close action.

> Legal diligence should not end with an issues list. Each material issue must receive a decision treatment and connect to price, terms, conditions, ownership actions, or rejection.

WORKSTREAM 6

Tax and transaction structure

Tax and structure determine how the acquisition is owned, financed, operated, and eventually exited. The best theoretical structure is not always the best executable structure.

What the work covers

- Acquisition vehicles and jurisdiction
- Debt placement and interest deductibility
- Tax attributes, losses, and historical exposures
- Withholding, transfer taxes, and cash extraction
- Management rollover and equity
- Investor-specific constraints
- Transaction perimeter and funds flow
- Exit tax and future flexibility

Why firms choose different structures

Different investors, jurisdictions, financing instruments, management arrangements, and exit routes create different constraints. A complex structure may save tax but increase execution risk, cost, governance burden, or future inflexibility.

> **Common mistake:** optimizing for headline tax efficiency without modelling cash taxes, deductibility limits, implementation costs, legal constraints, and the effect on future refinancing or exit.

Financing and capital markets

Financing diligence converts an operating case into a capital structure that can survive the downside and still support the ownership strategy.

The theory

Debt is not simply a multiplier of returns. It is a set of fixed and contingent claims on cash flow. The correct structure balances price, equity requirement, liquidity, flexibility, refinancing risk, and certainty of funds.

Core questions

- What EBITDA and cash flow will lenders recognize?
- How much leverage is sustainable through the downside?
- What liquidity is required for seasonality, capex, and working capital?
- What covenants, amortization, maturity, and restrictions apply?
- Can the structure support add-ons, distributions, and the value-creation plan?
- How certain is financing at signing and closing?

Why approaches differ

Some firms maintain internal capital-markets teams and broad lender relationships. Others rely on relationship banks, private-credit providers, or advisers. Stable recurring-revenue businesses can support different structures from cyclical, project-based, regulated, or asset-heavy companies.

Model connection

Financing changes the equity cheque, cash interest, fees, amortization, covenant headroom, downside liquidity, debt paydown, acquisition capacity, and return distribution.

Diligence is a loop, not a state

"Diligence complete" confuses document completion with decision readiness. Diligence is a controlled loop that converts uncertainty into explicit economic and governance treatment.

Hypothesis	Question	Findings	Revision	Decision treatment

Static questions

Some questions seek a fixed fact: legal title, a contract clause, a historical accounting balance, a license, or an existing debt obligation.

Dynamic questions

Other questions estimate a moving relationship: customer retention, sales productivity, capacity, pricing, cost inflation, implementation pace, or competitive response.

Continuous variables

Confidence, price, leverage, risk severity, and forecast assumptions can change incrementally with each new fact.

Discrete decisions

Resource authorization, offer approval, investment approval, signing, closing, and funding occur as explicit state transitions.

> A good process continuously updates understanding but allows commitment only at defined discrete gates.

How the diligence loop is controlled

1. Start with a decision-relevant hypothesis

Example: revenue can grow through price and retention without material customer loss.

2. Translate it into testable questions

Which customers accepted prior price increases? How did volume and churn respond? Are contract terms supportive? What do win-loss data and references show?

3. Define the required information and ownership

Specify the required data, interviews, analysis, owner, deadline, and expected decision consequence.

4. Update the assumption register

Record whether the hypothesis is supported, contradicted, narrowed, or still unresolved. Preserve the source and version.

5. Recalculate the model and risk

Change revenue, margin, cash flow, leverage, price, terms, or the value-creation plan as appropriate.

6. Decide the next action

Stop, deepen the work, accept and price the risk, mitigate it, make it a condition, or assign a post-close action.

> **Loop failure:** collecting more information without identifying which decision it can change. Diligence depth should follow decision value, not document availability.

The open-item taxonomy: why it exists

A risk register should not be a list of concerns. It should be a state machine that shows what is known, what remains uncertain, who owns the issue, and how the issue affects the transaction.

The problem with red-amber-green

- Color does not explain whether information is missing or adverse
- A low-probability fatal issue can look less important than a high-probability minor issue
- The same color can mean price adjustment, legal protection, closing condition, or post-close action
- Issues disappear when a report is finalized even though the risk remains

The better logic

- State the question precisely
- Identify the missing or adverse fact
- Estimate the economic, legal, and execution consequence
- Assign an owner and next decision point
- Move the item into an explicit disposition
- Reopen the item when new facts invalidate the disposition

> Every material issue should end in one of six treatments: resolved, accepted and priced, contractually mitigated, conditioned, moved to an owned post-close action, or fatal. Until then, it remains unresolved.

Open items: from uncertainty to economic treatment

UNRESOLVED

A potentially material question remains open and the available information is insufficient to determine its economic, legal or execution consequence.

Entry logic: Issue identified; materiality plausible; information incomplete, contradictory or unavailable; no authorized disposition of the risk.

Model effect: Use conservative placeholder, sensitivity or exclusion; do not silently adopt management case.

Approval effect: Material unresolved items should block unconditional final approval; conditional approval is possible only with explicit parameters and owner.

MATERIALLY RESOLVED

Sufficient information exists to determine the issue's material consequence, and no additional work is expected to change the investment decision materially.

Entry logic: Relevant information obtained; contradictions reconciled or bounded; workstream lead and decision owner agree on the conclusion.

Model effect: Incorporate the supported assumption or confirm no change.

Approval effect: Does not block approval; conclusion and residual risk remain visible in the synthesis.

ACCEPTED AND PRICED

The risk remains real, but its expected and downside consequences are reflected explicitly in price, valuation, leverage or return requirements.

Entry logic: Risk is sufficiently understood to estimate consequence; sponsor chooses economic compensation rather than elimination or contractual transfer.

Model effect: Adjust base or downside assumptions; show return and liquidity impact; avoid retaining an unadjusted management case.

Approval effect: Can proceed if acceptance is explicit and within mandate; approval record should identify the priced risk.

> **Accepted and priced is not the same as resolved.** The risk remains. The decision is that the expected and downside consequences are sufficiently understood and reflected in price, leverage, reserves, or return requirements.

Open items: protection, conditions, ownership, and rejection

CONTRACTUALLY MITIGATED

The identified risk remains possible but is reduced, allocated or compensated through enforceable transaction terms or insurance.

Entry logic: Risk identified and understood; counterparty, insurer or contractual mechanism can bear or limit part of the exposure; negotiated protection is sufficiently concrete.

Model effect: Model residual exposure, cost of protection and timing of recovery where material.

Approval effect: Can support approval within specified parameters; material erosion of protection requires escalation or reapproval.

CLOSING CONDITION

The transaction may be approved or signed, but funding or closing cannot occur unless the specified information, consent, action or state is achieved or validly waived.

Entry logic: Issue is not required to formulate the investment judgment fully, but is required for legal, financing, regulatory or risk acceptability at closing.

Model effect: Reflect closing timing, cost and probability where material; do not assume satisfaction if uncertain.

Approval effect: Conditional approval or signing can proceed; funding remains blocked until condition is satisfied or validly waived.

POST CLOSE ACTION

The issue is sufficiently understood and acceptable to close, but requires a defined remediation, implementation or monitoring action during ownership.

Entry logic: Risk is non-fatal; closing without prior remediation is legally and economically acceptable; action, owner, cost and timing are sufficiently defined.

Model effect: Include implementation cost, capex, timing and risk; adjust base or downside as appropriate.

Approval effect: Does not block closing if explicitly accepted; material actions should be included in approval and VCP.

FATAL

The issue makes the transaction legally impossible, outside mandate, economically unacceptable or dependent on a risk that cannot be sufficiently resolved, priced, mitigated or conditioned.

Entry logic: The facts establish an unbounded, binary or mandate-breaking exposure; required consent or financing is unavailable; economics fail under reasonable assumptions; management or operational capability is irreparable within the investment case.

Model effect: Transaction case is rejected; model may preserve the failed-case analysis for record and learning.

Approval effect: Reject, withdraw or terminate unless new information changes the underlying fact.

States are reversible. A contractual protection can weaken during negotiation. A closing condition can become impossible. A post-close action can become too costly. New information can return any item to unresolved or make it fatal.

The financial model: a living decision system

The model is not a static spreadsheet and not merely a valuation tool. It is the shared economic representation of the business, the transaction, the financing, the risks, and the ownership plan.

1. Input and control layer - version, source, date, ownership, units, currency, accounting period, and audit checks.

2. Historical layer - revenue, margins, operating costs, working capital, capex, cash taxes, balance sheet, and segment detail.

3. Operating-driver layer - price, volume, customers, cohorts, utilization, labor, procurement, capacity, and initiative drivers.

4. Financial-statement layer - income statement, cash flow, balance sheet, and accounting linkages.

5. Transaction layer - purchase price, net debt, working-capital adjustment, fees, rollover, management equity, and sources and uses.

6. Financing layer - instruments, interest, amortization, covenants, liquidity, and debt paydown.

7. Return and decision layer - base, downside, upside, sensitivities, price limits, exit assumptions, and decision thresholds.

> The layout should make assumptions traceable, workstream changes visible, and the bridge from operating performance to investor return transparent.

Model maturity: M0 to M2

M0

Quick screen

Determine whether an opportunity is economically plausible enough to justify senior attention and the next level of work.

Minimum contents: Headline revenue and EBITDA; rough normalization; indicative enterprise value or price range; preliminary leverage; equity cheque; entry and exit multiple; simple IRR/MOIC; one base case and a limited sensitivity; obvious concentration or cash-flow flags.

Advance when: Opportunity passes initial screen and sufficient company-specific information becomes available to build an offer-supporting underwrite.

M1

Preliminary underwrite

Support an indicative price, IOI, NBIO, LOI range or authorization to pursue the transaction.

Minimum contents: Historical financial bridge; preliminary sponsor forecast; management-versus-sponsor assumptions where available; initial normalization; sources and uses; debt capacity; equity cheque; base and downside returns; preliminary exit assumptions; key sensitivities; initial VCP hypotheses.

Advance when: Access, conviction or exclusivity supports detailed driver-based modelling and material diligence findings begins to arrive.

M2

Diligence operating model

Represent how the business actually earns revenue, incurs cost, consumes capital and converts EBITDA to cash so that diligence can test the highest-value assumptions.

Minimum contents: Driver-based revenue; price-volume-mix or cohort logic; segment, site, product, customer or unit economics; gross margin and opex drivers; working capital; capex; cash taxes; debt schedule; implementation costs; scenario switches; bridge from management case to sponsor assumptions.

Advance when: Material diligence findings have been incorporated and the investment team can distinguish fact-supported assumptions from management aspiration and unverified upside.

> The early model is intentionally incomplete. Its purpose is to identify whether the opportunity is plausible and which assumptions deserve the next unit of effort.

Model maturity: M3 to M5

M3

Diligence-adjusted sponsor case

Convert diligence findings into the sponsor's own base, downside and upside cases, independent from the management forecast.

Minimum contents: Normalized historical base; explicit sponsor assumptions; management-to-sponsor bridge; base, downside and upside; revised revenue and margin; working capital, capex and cash taxes; validated and excluded VCP levers; risk-adjusted timing; updated debt capacity and return sensitivities.

Advance when: Transaction terms and financeable capital structure become sufficiently concrete to optimize the bid and binding commitment.

M4

Financing and bid model

Translate the diligence-adjusted operating case into an executable price, capital structure, equity requirement and transaction response.

Minimum contents: Final or near-final sources and uses; debt instruments and terms; fees and OID; interest and hedging; covenant headroom; equity cheque and co-investment; purchase-price adjustments; rollover; financing conditions; price and term sensitivities; downside liquidity and returns.

Advance when: Material diligence, financing and terms are sufficiently resolved for final investment synthesis and authorization.

M5

Final underwrite

Provide the authoritative economic case used for final investment approval and binding commitment within defined parameters.

Minimum contents: Final sponsor base and downside; material diligence findings; final or bounded price and terms; financing; sources and uses; VCP and implementation cost; open-item statuses; covenant and liquidity sensitivities; exit cases; return decomposition; conditions and approval parameters.

Advance when: Investment is approved and the underwrite is converted into budgets, KPIs, initiative owners and board governance for ownership.

> The model becomes authoritative only when management aspiration has been separated from the underwritten base, the financing is executable, and material open items have explicit treatment.

Model maturity: M6 and ownership control

M6

Ownership budget and control case

Translate the acquisition underwrite into an accountable operating baseline for management, the board and sponsor monitoring.

Minimum contents: Closing balance sheet; first-year budget; monthly or quarterly operating forecast; KPI baseline; initiative owners and timing; implementation costs and capex; covenant and liquidity monitoring; board reporting; management incentives; variance bridge to the M5 underwrite.

Advance when: Not a terminal transition. Actual performance, board decisions and strategic changes produce rolling forecasts, reforecasts and eventual exit models.

What changes at ownership

- The annual acquisition case becomes a monthly or quarterly operating budget
- Underwriting assumptions become named KPIs and management commitments
- Value-creation initiatives receive owners, milestones, resources, and dependencies
- Debt, liquidity, working capital, capex, and covenant headroom become recurring controls
- Actual performance creates a variance bridge against both budget and acquisition underwrite
- The model becomes a rolling forecast and later an exit-readiness tool

> **Common mistake:** treating the final investment model as the ownership budget. The final model is designed for a decision; the ownership budget is designed for accountability, sequencing, and control.

How the model changes over time

Change trigger	Typical revisions	Control requirement
Commercial	Price, volume, churn, retention, pipeline, market share, growth timing, and exit assumptions.	Preserve the customer and market rationale behind each driver.
Financial	Normalized EBITDA, working capital, capex, cash taxes, debt-like items, and forecast reliability.	Maintain a transparent bridge from reported to underwritten figures.
Operational	Capacity, yield, productivity, savings, hiring, capex, one-time cost, and implementation timing.	Link every material initiative to an operating mechanism and owner.
Legal and tax	Perimeter, liabilities, cash taxes, structure, closing costs, and protections.	Connect issue disposition to the exact model or transaction term.
Financing	Leverage, interest, fees, amortization, liquidity, covenants, and acquisition capacity.	Separate indicative terms from committed terms.
Decision challenge	Scenarios, sensitivities, maximum price, downside severity, and base-versus-upside treatment.	Record who requested the change and which decision it supports.

> A model version is not defined only by a filename. It is defined by its assumption set, input state, transaction terms, financing state, and decision purpose.

Model governance and version control

Every material assumption should show

- Value and unit
- Input or rationale
- Owner
- Confidence or status
- Date and version
- Base, downside, or upside classification
- Workstream link
- Change history

Every decision version should freeze

- Purchase price and transaction perimeter
- Normalized earnings and cash-flow base
- Financing terms and liquidity
- Material open-item dispositions
- Value-creation assumptions
- Return outputs and sensitivities
- Approval conditions

> **Version-control failure:** a later model can look more complete while silently changing price, financing, or value-creation assumptions. The system should show not only that a version changed, but why the economics changed.

The value-creation plan: the theory

The value-creation plan is the bridge between the acquisition thesis and ownership execution. It should mature from ideas into quantified, owned, implementation-ready initiatives.

What it is not

- A list of generic improvement ideas
- A narrative used only to support a higher price
- A duplicate of the management forecast
- A schedule that begins after closing
- A collection of benefits without cost, timing, and dependencies

What it is

- A set of causal mechanisms for improving growth, margin, cash, resilience, or strategic position
- A hierarchy of base-case, upside, and risk-mitigation initiatives
- An implementation program with owners, resources, milestones, and governance
- A living roadmap that changes with actual performance and new opportunities

> A lever becomes underwritable only when the opportunity, mechanism, control, cost, timing, owner, dependencies, and measurement approach are sufficiently clear.

Value-creation maturity: V0 to V2

V0

Initial value-creation hypotheses

Record plausible ways the sponsor might improve the business or reduce risk before those ideas are validated or underwritten.

Readiness threshold: Plausible hypothesis grounded in sector knowledge or visible company opportunity; no requirement yet for quantified proof.

Model linkage: May appear as unquantified upside or a rough sensitivity. It should not be embedded in the sponsor base case without further validation.

V1

Diligence-validated levers

Determine which initial hypotheses are supported by diligence findings and which should be rejected, narrowed or treated as speculative upside.

Readiness threshold: Sufficient workstream findings to conclude that the opportunity exists and is not contradicted by known constraints; quantification may still be preliminary.

Model linkage: Validated levers may enter scenario analysis, but base-case inclusion still requires quantified economics and execution confidence.

V2

Quantified levers

Translate surviving value-creation opportunities into explicit financial and operational assumptions.

Readiness threshold: Decision-useful estimate supported by baseline data, workstream analysis and a plausible implementation mechanism.

Model linkage: Each lever is connected to revenue, margin, capex, working capital, cash and returns. Double counting and dependency conflicts are tested.

Value-creation maturity: V3 to V5

V3

Underwritten base, upside and risk mitigants

Separate value-creation assumptions that are sufficiently supported for the sponsor base case from speculative upside and non-return risk mitigants.

Readiness threshold: Base-case lever requires sufficient support, sponsor influence or control, credible management capacity, quantified cost and timing, and no unresolved dependency that would make inclusion misleading.

Model linkage: Base levers enter M3/M5; upside levers remain separate; risk mitigants may reduce downside without increasing the base forecast.

V4

Implementation-ready 100/180-day plan

Convert the underwritten VCP into an actionable program that can begin at or immediately after closing.

Readiness threshold: Each included initiative has sufficient clarity on ownership, first actions, required resources, timing and measurement to be managed rather than merely described.

Model linkage: Implementation timing, cost and capex reconcile to M5/M6. Deviations are recorded rather than silently changing the acquisition case.

V5

Ownership and exit roadmap

Maintain the VCP as a living ownership system and connect initiative delivery to capital allocation, governance and eventual realization.

Readiness threshold: Ownership data and initiative results support periodic revision; exit assumptions are linked to achievable company positioning rather than only a target multiple.

Model linkage: Actual-versus-underwrite attribution; rolling ownership model; exit model and buyer cases; revised return forecast.

Base case, upside, and risk mitigation

Category	Required logic	Model treatment
Base case	The opportunity exists; the owner can influence it; cost and timing are credible; management capacity is sufficient; dependencies are understood.	Included in the primary underwrite with explicit phasing and cost.
Upside	The opportunity is plausible but clarity, control, timing, or execution certainty is insufficient.	Shown separately; does not support the core purchase price unless the decision explicitly accepts that risk.
Risk mitigation	The initiative protects the downside or reduces execution risk rather than increasing headline earnings.	May lower downside severity, protect liquidity, or reduce probability of loss.
Post-close discovery	The opportunity cannot be fully evaluated before ownership because access or data is limited.	Excluded or treated conservatively until sufficient information is available.

Common mistake: using the same initiative in normalized EBITDA, the forecast, and the value-creation plan. Each economic benefit should appear once, with a clear owner and start date.

How model, value creation, and open items stay synchronized

Workstream finding	→	Open-item state	→	Model revision	→	VCP revision	→	Decision or escalation

Example	Open-item treatment	Model effect	VCP effect
Pricing power weaker than expected	Materially resolved with adverse conclusion, or accepted and priced.	Lower price growth, revenue, EBITDA, and supportable purchase price.	Move pricing initiative from base to upside or redesign it.
Capacity expansion required	Accepted and priced, closing condition, or post-close action depending readiness.	Add capex, delay growth, reduce cash conversion, and recut financing.	Add project owner, milestones, permits, suppliers, and implementation budget.
Key contract consent outstanding	Closing condition or contractual mitigation.	Scenario for customer loss or delay; possible price holdback.	Add retention and contingency actions.
Management gap identified	Post-close action, condition, or fatal if execution depends on an unavailable leader.	Add hiring cost and delayed benefits.	Add search, interim leadership, governance, and onboarding plan.

What should be universal and what should vary

Universal at the level of function

- A preliminary economic frame before material commitment
- A controlled decision on whether to spend more and proceed
- Decision-useful testing of commercial, financial, operational, legal, tax, talent, technology, and financing questions as relevant
- An underwrite that changes when material facts change
- Explicit treatment of material open items
- Valid authority before binding commitment
- Closing controls before funds are released
- Conversion of the acquisition case into ownership accountability

Configurable in implementation

- Committee names, counts, and membership
- Document names and memo ladders
- Which capabilities are internal or external
- When external advisers are engaged
- The level of detail required at each gate
- Voting rules and escalation rights
- The exact number of model versions
- How the ownership team is organized

> Standardize the questions, states, and decision rights. Configure the people, artifacts, sequencing, and depth.

Archetypes that legitimately change the process

Archetype	Additional process emphasis
Auction	Rapid triage, staged spend, limited access, bid discipline, financing certainty, and explicit assumptions where information is unavailable.
Proprietary or relationship-driven	Earlier thematic work, more iterative management engagement, and greater ability to shape structure before formal diligence.
Corporate carve-out	Perimeter, standalone costs, transition services, systems separation, employee transfer, supply continuity, and Day 1 readiness.
Founder-owned	Succession, governance, professionalization, rollover, incentives, customer relationships, and key-person dependence.
Regulated business	Licenses, change-of-control approvals, compliance systems, capital requirements, conduct risk, and separate legal authority where required.
Buy-and-build	Integration capacity, M&A governance, acquisition financing, synergy discipline, management bandwidth, and platform systems.
Turnaround or stressed	Liquidity, weekly cash control, stakeholder negotiations, operational stabilization, covenant risk, and executable downside protections.

From closing to ownership

Closing should not create a knowledge discontinuity. The underwrite, open items, model, and value-creation plan should become the first ownership control system.

Before signing

Define the underwritten case, material conditions, ownership priorities, leadership needs, and Day 1 requirements.

Between signing and closing

Resolve conditions, finalize financing and funds flow, prepare governance, validate the first operating priorities, and build the ownership budget.

Day 1 to Day 30

Establish reporting, cash controls, decision rights, management cadence, risk ownership, and initiative governance.

Day 30 to Day 180

Launch prioritized initiatives, complete critical hires, stabilize systems, validate assumptions with ownership data, and reforecast.

Ongoing ownership

Use actual results to update the model, re-rank initiatives, allocate capital, manage leverage, and build exit readiness.

> The acquisition process ends legally at closing. Economically, it ends only when the underwrite has been converted into a functioning ownership system.

CONCLUSION

The practical operating principles

1. Gate commitment, not curiosity

Use gates to control spend, exposure, price, legal commitment, and funding. Do not use them to stop learning.

2. Treat diligence as hypothesis testing

Every workstream should test a decision-relevant proposition and change an assumption, risk treatment, term, or action.

3. Preserve function over artifact

A report, memo, or spreadsheet matters only because of the function it performs.

4. Make uncertainty explicit

Unknown is not the same as low risk. Use open-item states, conservative placeholders, and clear owners.

5. Keep the model alive

The model should receive updated findings, expose sensitivities, control versions, and become the ownership baseline.

6. Separate base case from aspiration

A value-creation idea belongs in the base only when its mechanism, cost, timing, control, and dependencies are credible.

7. Configure organizational differences

Internal specialists, external advisers, committee forms, and document ladders may vary without changing the process kernel.

8. Carry knowledge through closing

Approval conditions, risks, assumptions, and initiatives must survive into the ownership system.

Conclusion

Buyout firms run a common functional process: form a view, authorize the next level of commitment, build a provisional economic case, test the assumptions that create value and risk, revise price and terms as understanding improves, obtain valid authority, close under controlled conditions, and convert the underwrite into ownership accountability.

> The process is best understood as a stable spine of gates surrounding a dynamic, iterative engine. The strongest implementation does not force every transaction into the same sequence of documents. It preserves the same economic questions, decision states, authority boundaries, and ownership handoff while allowing depth, staffing, and timing to adapt to the business and the transaction.